

HOUSE No. 1331

The Commonwealth of Massachusetts

PRESENTED BY:

Jeffrey Rosario Turco

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to increase financial access for all.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Jeffrey Rosario Turco</i>	<i>19th Suffolk</i>	<i>1/15/2025</i>

HOUSE No. 1331

By Representative Turco of Winthrop, a petition (accompanied by bill, House, No. 1331) of Jeffrey Rosario Turco relative to financial literacy and money management. Financial Services.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE HOUSE DOCKET, NO. 5135 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to increase financial access for all.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 WHEREAS, innovative technologies have revolutionized society and specifically
2 financial markets, and investing, and

3 WHEREAS, for the first time, millions of new investors from previously underserved
4 communities and demographics, including; women, people of color, and first-generation
5 Americans have access to tools and resources to begin investing for the future, and

6 WHEREAS, overburdensome and unnecessary regulations may reverse historic trends of
7 investor participation, and

8 WHEREAS, many young people graduate from high school without having basic
9 financial literacy or money management skills, and

WHEREAS, the Legislature finds that, in light of economic challenges nationwide, sound financial management skills are vitally important to students in the Commonwealth, particularly high school students, and

WHEREAS, the Legislature also finds that requiring educational instruction in financial literacy and money management as a prerequisite to high school graduation will better prepare young people in this state for adulthood by providing them with the requisite knowledge to achieve financial stability and independence, and

WHEREAS, 22 states in the nation require financial literacy instruction as a prerequisite for high school graduation and a standard high school diploma.

SECTION 1. This Act may be cited as the FINANCIAL INNOVATIVE TECHNOLOGIES ACT (FIT ACT)

SECTION 2. Notwithstanding any general or special law or regulation to the contrary, as of the effective date of this Act, the U.S. Securities and Exchange Commission's Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934 shall be the operative standard of conduct for broker-dealers and associated persons when they make a recommendation to a retail customer of any securities transaction or investment strategy involving securities, including recommendations of types of accounts. Further, the U.S. Securities and Exchange Commission's interpretations concerning investment advisers' standard of conduct under the Investment Advisers Act of 1940, and the "solely incidental" prong of the broker-dealer exclusion from the Advisers Act shall hereby govern.

SECTION 3. Section 1R of chapter 69 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by striking out subsection (a) and inserting in place thereof the following subsection:-

(a) Financial literacy standards established pursuant to section 1D shall promote an understanding of personal finances including, but not limited to: (i) loans; (ii) interest and interest accrual; (iii) using credit and making investments, risks of various financial instruments and basic diversification of assets; (iv) online commerce; (v) rights and responsibilities of renting or buying a home or making other large purchases or investments; (vi) saving, investing and planning for retirement; (vii) the role of banking and financial services; (viii) balancing ledgers and checkbooks; (ix) state and federal taxes; (x) charitable giving; (xi) evaluating media content, including online content, that relates to personal finance matters; (xii) saving, investing and planning for higher education or professional training (xiii) earning and spending income, methods of payment, consumer protection, and budgeting; (xiv) protecting and insuring assets, preventing identity theft and avoiding online scams; and (xv) emerging technologies in the financial industry, a basic understanding of cryptocurrencies, online commerce and computer stock-trading, how to evaluate digital media content relating personal finance matters and how to recognize risk.

SECTION 4. Sais section 1R of Chapter 69 of the General Laws, as so appearing, is hereby amended by striking paragraph (b) and replacing it with the following:-

(b) A school district, charter school, approved private day or residential school or collaborative school shall incorporate the financial literacy standards established pursuant to

section 1D and subsection (a) into existing curriculum including, but not limited to, mathematics, history and social sciences, technology or business.

SECTION 5. Chapter 71 of the General Laws, as so appearing, is hereby amended by adding the following new section:-

Section 100. (a) In all public schools, financial literacy shall be taught as required subjects to promote an understanding of personal finances and financial stability. Instruction shall include (i) loans; (ii) interest and interest accrual; (iii) credit card debt; (iv) online commerce; (v) rights and responsibilities of renting or buying a home; (vi) saving, investing and planning for retirement; (vii) the role of banking and financial services; (viii) balancing a checkbook; (ix) state and federal taxes; (x) charitable giving; (xi) evaluating media content, including online content, that relates to personal finance matters; (xii) saving, investing and planning for higher education or professional training training; (xiii) earning and spending income, methods of payment, consumer protection, and budgeting; (xiv) protecting and insuring assets, preventing identity theft and avoiding online scams; and (xv) emerging technologies in the financial industry, a basic understanding of cryptocurrencies, online commerce and computer stock-trading, how to evaluate digital media content relating personal finance matters and how to recognize risk.